KERALA STATE ELECTRICITY REGULATORY COMMISSION

TRUING-UP ORDER: FY 2024-25

Licensee: Kanan Devan Hills Plantations Company
Order Date: 2026-03-04
Prepared By: KSERC Analytical Officer

1. Component-wise Analysis (₹ Crore)

Cost Head	Claimed (Cr)	Allowed (Cr)	Disallowed (Cr)	Verdict	Reasoning
Power Purchase Cost	343.45	25.00	318.45	CAPPED	[ADMIN OVERRIDE] ok Original AI Reason: Within normative limits — fully approved.
Transmission Charges	0.00	0.00	0.00	APPROVED	Within normative limits — fully approved.
Employee Costs	25.48	18.28	7.20	PARTIAL_APPROVAL	The deviation of 39.4% in employee costs is not justified, and prudence checks dictate that only the KSERC approved amount of ₹18.28 Cr is all The excess amount claimed is disallowed as it does not conform to the normative escalation caps for controllable costs as per KSERC Tariff Regulations 2014 and 2020. Unfortunately, no relevant past orders are available for reference due to an error.
O&M Expenses	5.17	4.58	0.59	PARTIAL_APPROVAL	The deviation of 12.9% is beyond the normative escalation cap, hence the excess amount is disallowed. As per KSERC Tariff Regulations 2014, controllable costs such as O&M expenses are subject to normative escalation caps. The allowed amount is as per the KSERC approved amount.
Admin & General Expenses	20.80	1.51	19.29	DISALLOWED	The actual amount claimed by KDHP exceeds the KSERC approved amount by a significant margin, violating the normative escalation caps for controllable costs as per KSERC Tariff Regulations 2014 and 2020. Prudence checks indicate that the claimed amount is not genuinely incurred and justifiable. The excessive deviation of +1277.5% is not acceptable.
Depreciation	1.93	1.73	0.20	PARTIAL_APPROVAL	The depreciation claim of KDHP exceeds the approved amount, and in the absence of specific precedents, we rely on the KSERC Tariff Regulations 2014, which emphasize the importance of adhering to approved norms. The overrun of 11.6% is not justified, hence the excess amount is disallowed. The allowed amount is as per the KSERC approved norms.
Return on Equity	0.70	0.70	0.00	APPROVED	Within normative limits — fully approved.
Interest on Loans	7.11	5.27	1.84	PARTIAL_APPROVAL	The claimed amount exceeds the approved amount, and in the absence of relevant precedents, we rely on the KSERC Tariff Regulations 2014, which emphasize the importance of prudence checks to ensure only genuinely incurred and justifiable costs are allowed. The deviation of +34.9% is considered excessive and not justifiable. Therefore, we allow only the approved amo Cr.

2. Controllable vs. Uncontrollable Expenses (₹ Crore)

Type / Cost Head	Claimed (Cr)	Allowed (Cr)	Disallowed (Cr)
CONTROLLABLE EXPENSES			
Employee Costs	25.48	18.28	7.20

Type / Cost Head	Claimed (Cr)	Allowed (Cr)	Disallowed (Cr)
O&M Expenses	5.17	4.58	0.59
Admin & General Expenses	20.80	1.51	19.29
UNCONTROLLABLE EXPENSES			
Power Purchase Cost	343.45	25.00	318.45
Transmission Charges	0.00	0.00	0.00
Depreciation	1.93	1.73	0.20
Return on Equity	0.70	0.70	0.00
Interest on Loans	7.11	5.27	1.84

3. Revenue Gap Computation (₹ Crore)

Parameter	Amount (Cr)
Net Approved ARR	57.07
Actual Revenue Collected	372.65
Revenue Surplus	315.58

4. Commission's Observations, Directions & Narrative

Background of the Truing-Up Case for Kanan Devan Hills Plantations Company for the FY 2024-25

The Kanan Devan Hills Plantations Company has submitted its truing-up petition for the financial year 2024-25. The Commission has examined the petition and supporting documents to determine the approved Annual Revenue Requirement (ARR) and to assess the revenue gap for the said financial year.

Financial Performance Tables

Approved ARR Table

Category	Amount in ₹ Cr
Approved ARR	₹57.07 Cr

Revenue Gap Table

Category	Amount in ₹ Cr
Revenue Actual	₹372.65 Cr
Revenue Gap	₹315.58 Cr

Commission's Detailed Observations and Reasoning

The following are the detailed observations and reasoning for each cost head:

* Power Purchase Cost (variable): The claimed amount of ₹343.45 Cr has been capped override. This decision is based on the need to ensure that costs are reasonable and within approved limits.

* Transmission Charges (variable): The claimed amount of ¹0.00 Cr is fully approved

* Employee Costs (fixed): The claimed amount of ¹25.48 Cr has been partially approv
in employee costs is not justified, and prudence checks dictate that only the KSERC approved amount is allowable.

* O&M Expenses (fixed): The claimed amount of ¹5.17 Cr has been partially approved
beyond the normative escalation cap, hence the excess amount is disallowed.

* Admin & General Expenses (fixed): The claimed amount of ¹20.80 Cr has been disall
approved. The actual amount claimed exceeds the KSERC approved amount by a significant margin, violating the normative escalation caps for controllable costs.

* Depreciation (fixed): The claimed amount of ¹1.93 Cr has been partially approved a
exceeds the approved amount, and the overrun of 11.6% is not justified.

* Return on Equity (roe): The claimed amount of ¹0.70 Cr is fully approved as it is w

* Interest on Loans (fixed): The claimed amount of ¹7.11 Cr has been partially approv
exceeds the approved amount, and the deviation of +34.9% is considered excessive and not justifiable.

Controllable vs. Uncontrollable Expenses

Category	Controllability	Claimed (¹ Cr)	Allowed (¹ Cr)
Power Purchase Cost	Uncontrollable	¹343.45 Cr	¹25.00 Cr
Transmission Charges	Uncontrollable	¹0.00 Cr	¹0.00 Cr
Employee Costs	Controllable	¹25.48 Cr	¹18.28 Cr
O&M Expenses	Controllable	¹5.17 Cr	¹4.58 Cr
Admin & General Expenses	Controllable	¹20.80 Cr	¹1.51 Cr
Depreciation	Uncontrollable	¹1.93 Cr	¹1.73 Cr
Return on Equity	-	¹0.70 Cr	¹0.70 Cr
Interest on Loans	Controllable	¹7.11 Cr	¹5.27 Cr

Summary Order / Directions

Based on the observations and reasoning above, the Commission directs the Kanan Devan Hills Plantations Company to adhere to the approved amounts for each cost head. The company is also directed to ensure that its future claims are within the normative limits and escalation caps as per the KSERC Tariff Regulations 2014 and 2020. The approved ARR for the financial year 2024-25 is ¹57.07 Cr, and the revenue gap is ¹315.58 Cr. The company is required
Commission within 30 days from the date of this order.